

**UNITED STATES OF AMERICA
BEFORE THE
FEDERAL ENERGY REGULATORY COMMISSION**

Interconnection of Large Loads to the Interstate Transmission System) Docket No. RM26-4-000
)

COMMENTS OF THE EDISON ELECTRIC INSTITUTE

The Edison Electric Institute (“EEI”) respectfully submits initial comments in response to the Notice Inviting Comments and Advanced Notice of Proposed Rulemaking (“ANOPR”) issued by the Federal Energy Regulatory Commission (“FERC” or “Commission”) on October 27, 2025.¹ The Secretary of the Department of Energy (the “DOE”) has directed the Commission to consider the ANOPR as a means to standardize interconnection procedures and agreements for large loads.

EEI, as the association that represents all U.S. investor-owned electric companies, brings a unique and crucial perspective. EEI member companies serve nearly 250 million Americans and operate in all fifty states and the District of Columbia. EEI members own and operate our nation's most critical infrastructure—the generation, transmission, and distribution infrastructure that make up our nation's grid—and are at the forefront of integrating large loads into the grid today. More than any other industry constituency, EEI members are central to achieving the objectives of accelerating the integration of large loads to advance our nation's economic and national security interests *while also* ensuring the delivery of reliable and affordable energy to everyday Americans. We are deploying our innovation and expertise to address this challenge. We look forward to working with the Commission on these shared goals.

¹ Notice Inviting Comments, *Interconnection of Large Loads to the Interstate Transmission Sys.*, Docket No. RM26-4-000 (filed Oct. 27, 2025) (the “Notice Inviting Comments” on the “ANOPR” filed therewith).

I. EXECUTIVE SUMMARY

America’s electric companies are working every day to keep electricity as reliable and as affordable as possible for the 250 million customers we proudly serve. EEI shares the Administration’s commitment to American energy dominance and specifically supports the ANOPR’s goals to improve the speed, efficiency, fairness, and predictability of large load² interconnections. EEI member companies are committed to ensuring the timely interconnection of large loads while also ensuring benefits and protection for *all* customers and the grid. We are focused on a path forward that supports reliability, promotes investment, and aligns with the important role and interests of states.

As we speak, across the country, EEI member companies are working with their state regulators, large load customers, and other stakeholders to integrate large loads—including data centers, hyperscalers, manufacturing facilities, and other high-demand customers—into the electric system through state-regulated large load tariffs and bilateral retail service agreements. EEI members are also working with independent system operators (“ISOs”) and regional transmission organizations (“RTOs”) to address these challenges in parallel with state-level reforms. The right outcome of this proceeding is a sure-footed response by the Commission that acts in concert with ongoing efforts by utilities, states, and ISO/RTOs.

To assist the Commission in navigating this path, EEI offers a number of enhancements to the ANOPR’s proposals based on our member companies’ on-the-ground experience. EEI’s recommended enhancements are focused on ensuring that any Commission action improves

² See ANOPR at PP 1, 12. The term “large loads” as used herein refers to retail/end-use load. See Letter from Hon. Chris Wright, Sec’y of Energy to the Comm’rs of the FERC, at 1 (Oct. 23, 2025), (identifying “AI data centers” as examples of large loads).

affordability and reliability for all grid users and avoids unfair cost shifts that could harm everyday customers. They include:

- Ensuring that large load customers pay for their share of system costs. Large load customers should be required to pay for their use of the transmission system rather than be directly assigned the costs of the network upgrades required to interconnect to the system. The Commission should also endorse EEI members' tested mechanisms to ensure that the costs of interconnecting large load customers do not burden other transmission customers in communities across our country.
- Avoiding unreasonable cost shifts by adopting a default rule that co-located loads pay for transmission and ancillary services on a gross basis, absent a different utility and state-approved framework. This customer protective approach ensures large loads pay for the transmission system on which they depend. This cost allocation approach must be paired with planning approaches that ensure the efficient build-out of the system.
- Raising the 20 MW default threshold to qualify as a large load customer, which is necessary to ensure any reforms do not capture customers for whom the ANOPR was not designed. A one-size-fits-all threshold may not be appropriate, but 100 MW should be the minimum default threshold, subject to regional variation.
- Ensuring infrastructure safeguards. The option-to-build proposal raises reliability concerns. If adopted, the Commission should require critical and necessary safeguards.
- Protecting reliability and resource adequacy. If existing generation is diverted to serve a particular large load, studies related to reliability and local resource adequacy will be necessary to protect other existing customers.
- Requiring meaningful commitments. The Commission should promote certainty through meaningful study deposits and other related interconnection commitments.
- Preserving existing arrangements and promoting new arrangements. The Commission should allow any mechanisms adopted in response to the ANOPR to coincide with arrangements put in place by RTOs/ISOs or utilities working with state regulators and large load customers.

EEI also addresses the jurisdictional framework that must guide any reforms. Our aim is to help identify a strong path forward. We encourage the Commission to harmonize any action it

takes in response to the ANOPR with the Federal Power Act's ("FPA's") longstanding jurisdictional boundaries around retail service. Though the Commission has jurisdiction over wholesale and unbundled retail transmission service and exercises certain jurisdiction over generator interconnection service as a component of wholesale transmission service, questions remain as to the scope of the Commission's jurisdiction relative to the fourteen principles articulated in the ANOPR. And as described below, interconnection service for retail end-use customers (including large load customers) is regulated by the states under the existing regulatory paradigm. Any Commission action must recognize that large load customers are end-use retail customers, meaning the delivery service they receive necessarily includes an element of local distribution service.³ Even in states that have elected to restructure their electric industry and implement retail choice, the states require that local utilities secure wholesale transmission service on behalf of all retail customers so that they can procure this competitive generation supply.

Importantly, the Commission can advance meaningful reforms without wading into the most sensitive jurisdictional issues. Recent action from the ISO/RTOs, states, and individual utilities illustrates there can be a clear and quick path for the Commission to have an impact.

We also underscore the importance of providing a clear signal to market participants that the progress they have made to bring large load customers onto the system will not be undermined. Across the country, there are countless large load customers who are already interconnected to the transmission system or are in various stages of working through the process to interconnect. Affirming the validity of these existing agreements and ongoing efforts will help avoid the

³ *Promoting Wholesale Competition Through Open Access Non-Discriminatory Transmission Servs. by Pub. Utils., Recovery of Stranded Costs by Pub. Utils. & Transmitting Utils.*, Order No. 888, FERC Stats. & Regs. ¶ 31,036, at 31,783 (1996) ("Order No. 888"), *aff'd in relevant part sub nom., Transmission Access Policy Study Grp. v. FERC*, 225 F.3d 667 (D.C. Cir. 2000), *aff'd sub nom., New York v. FERC*, 535 U.S. 1 (2002).

potential for delay and hesitation by large load customers and utilities, which are evaluating major capital investments *right now*. Providing such certainty is consistent with the Commission's mandate under the ANOPR to accelerate large load interconnection.

Accordingly, while the Commission considers the scope of any reforms concerning large load customers, it is imperative that the Commission provide, at the earliest juncture, clear and unambiguous guidance to market participants that existing agreements and ongoing processes will be honored.

II. PROPOSED ENHANCEMENTS TO DOE'S PRINCIPLES FOR REFORM

The fourteen principles DOE set forth in the proposed ANOPR provide a helpful framework for thinking through the challenges of large load interconnection. The Commission can and should build on these principles. To that end, EEI recommends a number of enhancements based on EEI members' significant experience working to interconnect large loads to their respective systems. These enhancements seek to ensure that any reforms are tailored to loads of appropriate sizes; achieve the objective of speed without compromising reliability; and respect and enhance customer protections so everyday Americans are not unjustly subsidizing large load customers—all the while respecting the important role of states. EEI looks forward to providing additional comments and suggestions as the record develops in this proceeding.

A. The Default Threshold for Large Load Status Must Be Raised Above 20 MW.

The ANOPR suggests that interconnection reforms should apply to loads (or net loads, in the case of hybrid facilities) of 20 MW or more—the existing threshold for standardized large generation interconnection procedures.⁴ This default threshold is far too low for the ANOPR's

⁴ *Id.* at P 19.

specific focus; as proposed, it would capture numerous traditional industrial and commercial customers that are outside the stated intent of the ANOPR.⁵

We caution that any reforms to accelerate the interconnection of large loads may, in some parts of the country, threaten reliable power service if not properly crafted. And not all large load customers will have the same system impacts. Only a few months ago, NERC’s Large Loads Task Force cautioned that the task of defining large load customers was complicated by the fact there are “numerous categories and subtypes of large loads” that may have substantially different operational characteristics.⁶ NERC observed that, as a result, “the potential clarity and ease of a universal threshold for large load would likely be outweighed by over- or under-inclusion of impactful large load with corresponding high costs for inadequate improvement to [bulk power system] reliability.”⁷

Considering these reliability concerns, the 20 MW threshold is inappropriate for the specific, high-impact load customers that the ANOPR is intending to address. If the Commission adopts a universal default or threshold definition of large load customers premised on that customer’s (gross) peak demand, it should be no lower than 100 MW, allowing for flexibility to reflect the unique circumstances of the region.⁸ This level reflects a commonly held view of what

⁵ The proposed 20 MW threshold also lies at a point where lines are hard to draw—the distinction between a 19 MW customer and a 21 MW customer can easily be fortuitous or fluctuating, while greater minimum requirements are more likely to cleanly divide load customers and align outcomes with the intent of this policymaking effort.

⁶ NERC, *White Paper: Characteristics and Risks of Emerging Large Loads*, at 11 (July. 2025) (“NERC Large Load White Paper”), https://www.nerc.com/comm/RSTCReviewItems/3_Doc_White%20Paper%20Characteristics%20and%20Risks%20of%20Emerging%20Large%20Loads.pdf

⁷ *Reliability Tech. Conf.*, Pre-Conf. Comments of N. Am. Elec. Reliability Corp., Docket No. AD25-8, at 18 (filed Oct. 21, 2025) (“NERC Pre-Conf. Comments”).

⁸ While EEI believes it necessary to raise the national threshold to 100 MW, EEI also recognizes that the specific characteristics of a particular region or state may support a lower threshold based on the

constitutes a “large load” consistent with NERC’s focused discussions on these topics. There is a risk that a default threshold below 100 MW will include too many different customer loads with highly variable load characteristics—a result that would amplify the operational challenges associated with their expedited connection to the grid and subsequent provision of retail service, as well as the reliability challenge of accommodating those characteristics in the everyday functioning of the grid. A lower threshold may also produce unintended detriments to economic development and reshoring activities. Adopting a higher threshold figure is an appropriate and measured approach to this developing issue.

In any case, the Commission should consider allowing individual states, distribution utilities, and ISO/RTOs to develop (or expand) their own criteria and choose a figure appropriate for their systems.⁹ As explained by NERC, the primary risk of a one-size-fits-all threshold for large load customers is that it fails to take into account how potential large load customers’ “impact on reliability” is shaped by the “unique size and dynamic characteristics” of the transmission system around the point of interconnection.¹⁰ That is why NERC has preliminarily adopted a definition of large load customers based on the real-world impacts of these facilities:

Any commercial or industrial individual load facility or aggregation of load facilities at a single site behind one or more point(s) of interconnection that can pose reliability risks to the [bulk power system] due to its demand, operational characteristics, or other factors. Examples include, but are not limited to, data centers,

circumstances of that location and the Commission should allow utilities to propose use of a lower threshold based on their circumstances.

⁹ In addition, all retail customers, no matter their size, should retain the right to *not* have to take unbundled Commission-jurisdictional Open Access Transmission Tariff (“OATT”) service for interconnection and transmission purposes. That is, the Commission should not mandate that retail customers above any minimum size must take OATT transmission and interconnection service, rather than retail service.

¹⁰ NERC Pre-Conf. Comments at 18.

cryptocurrency mining facilities, hydrogen electrolyzers, manufacturing facilities, and arc furnaces.¹¹

Adopting an approach like that of NERC would minimize the disruption of existing efforts by states, utilities, and ISO/RTOs to provide specialized procedures for the interconnection of large load and avoid imposing a duplicative process that would require time, resources, and costs that ultimately would be passed on to customers.

NERC is actively developing its own analysis and criteria around large load interconnection, which may soon provide a framework for specific thresholds/characteristics.¹² Regardless, any definition of large load should be limited to an individual commercial or industrial load facility or aggregation of load facilities at a single site behind one or more point(s) of interconnection.

B. Large Loads Should Pay for Their Share of System Costs and Other Customers Should Not Be Negatively Impacted

The ANOPR posits that large load facilities “should be responsible for 100% of the network upgrades that they are assigned through the interconnection studies.”¹³ The ANOPR also asks “whether such costs should be offset through a crediting mechanism and, if so, over how many years.”¹⁴ The ANOPR’s discussion of these points references funding practices from earlier policy and rulemaking around generator interconnections. EEI fully agrees that large load customers should pay for their share of the transmission system necessary to serve their needs. Although the generator interconnection model identifies useful questions for evaluating an appropriate funding mechanism for large load interconnections, funding models from generator

¹¹ NERC Large Load White Paper at 1.

¹² NERC Pre-Conf. Comments at 15-16.

¹³ *See* ANOPR at P 25.

¹⁴ *Id.*

interconnections reflected in the ANOPR are inapposite to large load interconnections.¹⁵ Generator interconnections and load interconnections are significantly different. Thus, different considerations and precedent must be considered.

Rather than only directly assigning costs of the network upgrades necessary to connect large load customers, the Commission should require them to pay for their share of the transmission system. The Commission's longstanding precedent is that network upgrade costs are rolled into transmission providers' rates and charged to all system customers. As a result, all customers pay for their share of the transmission system based on their connection to and use of the system and thus, large load customers will, by virtue of their size, pay for their proportional share of the costs. The obligation can be further shored-up by placing appropriate requirements on the large load customers to ensure that costs are not forced on other customers if the load does not actually materialize. EEI members, working with state regulators and stakeholders, have developed customer-protective solutions that are in practice today to cordon off the cross-subsidization risks of the costs of large load additions unfairly burdening existing utility customers. Those solutions provide a good roadmap for addressing these issues.¹⁶ These tested and proven approaches together with the Commission's traditional ratemaking policy are more rational and effective than direct assignment of 100% of the costs of network upgrades.

¹⁵ The basis for the Commission's decision in Order 2003 to have the generator provide the initial funding are not relevant here. In Order No. 2003, the Commission required the generator to initially fund network upgrades: (1) to address any concerns that construction would not timely commence because the transmission provider was in need of finding additional funding sources, and (2) to encourage the generator to efficiently site and therefore minimize the network upgrade costs that it would finance in the first instance. *See Standardization of Generator Interconnection Agreements & Procs.*, Order No. 2003-A, FERC Stats. & Regs. ¶ 31,160, at P 613 ("Order No. 2003-A"), *aff'd sub nom.*, *Nat'l Ass'n of Regul. Util. Comm'rs v. FERC*, 475 F.3d 1277 (D.C. Cir 2007) ("NARUC"). Neither concern is relevant here.

¹⁶ *See e.g., PECO Energy Co., Transmission Sec. Agreement between PECO & Amazon Data Servs. Inc.*, Docket No. ER25-3492-000 (filed Sep. 23, 2025) ("PECO Energy Sep. 23, 2025 Filing").

1. Large Loads Must Pay Their Share of Transmission System Infrastructure, Which Will Benefit All Customers

With new large end-use loads being served by the transmission system, the Commission should ensure that all customers benefit from spreading costs of the transmission system to these large load customers. Large load customers will use and benefit from the broader system and, therefore, should pay their fair share as users of that system rather than cover only certain costs.¹⁷ The Commission has consistently found that network upgrades are integrated with the transmission system and therefore, benefit all customers who use the integrated transmission system.¹⁸ Thus, they should be paid for by all customers using the transmission system. In contrast, interconnection facilities exclusively benefit the interconnection customer and therefore should be directly assigned to that customer. There is no reason to believe that this basic framework will change as more large loads interconnect or that large loads should be treated differently. Integrated transmission network upgrades necessary to support these new customers will necessarily benefit

¹⁷ Direct assignment of network upgrade costs to load that also pays for transmission service runs afoul of decades of the Commission's "and" pricing policy precedent. *Pennsylvania Elec. Co.*, 60 FERC ¶ 61,034, at 61,124 (1992). The notion of a load paying 100% of its network upgrade costs and a rolled-in transmission rate is vulnerable to legal challenges on discrimination grounds.

¹⁸ See *Midcontinent Indep. Sys. Operator, Inc.*, 187 FERC ¶ 61,170, at P 4 (2024) (footnote omitted) ("[P]ursuant to rolled-in pricing, network upgrade costs are included in transmission rates and paid for by all users of the transmission system that are charged transmission rates."); *S.C. Elec., Gas Co.*, 118 FERC ¶ 61,185, at P 26 (2007) (citation omitted) ("[W]e have consistently priced the transmission service of a non-independent transmission provider based on the cost of the grid as a whole, and have rejected proposals to directly assign the cost of network upgrades."); Order No. 2003-A, FERC Stats. & Regs. ¶ 31,160 at P 424 ("Since Network Upgrades provide a system-wide benefit, expenses associated with owning, maintaining, repairing, and replacing them shall be recovered from all Transmission Customers rather than being directly assigned to the Interconnection Customer.") (citation omitted); *Entergy Servs., Inc. v. FERC*, 319 F.3d 536, 544–45 (D.C. Cir. 2003) (noting "the consistent application of the Commission's long-held view . . . that the transmission grid is an integrated whole" and "the Commission's long-standing rejection of direct assignment of network costs"); *San Diego Gas & Elec. Co.*, 98 FERC ¶ 61,332, at 62,407 (2002) (finding that "upgrades . . . to existing, high voltage transmission facilities and are clearly network upgrades" and that "rolled in treatment is warranted because of our traditional policy for such network upgrades"); *Removing Obstacles to Increased Elec. Generation & Nat. Gas Supply in the W. United States*, 96 FERC ¶ 61,155, at 61,674 (2001) (citation omitted) ("With regard to network upgrade costs, the Commission has had a consistent policy of assigning the costs of facilities with system-wide benefits to all customers on an integrated transmission grid.").

the entire grid and, therefore, their costs should be allocated across all transmission users.¹⁹ Such an approach has the additional benefit of avoiding many of the jurisdictional concerns discussed below.

Integrating large load customers will require an unprecedented level of investment across a substantial portion of EEI members' transmission systems. EEI member experience is that the network upgrades for a single large customer can require tens to hundreds of millions of dollars in transmission investment (in addition to required distribution investment, if any). EEI member companies are eager to work with new large load customers to help secure America's future and drive economic development and to make the necessary investments to support this outcome. However, those investments must be made in a constructive and predictable environment that provides the opportunity to earn a return of and on the entirety of the transmission network, including the transmission upgrades necessary to interconnect new large loads.²⁰ That approach is the foundation for utilities' ability to provide Americans with safe, reliable, and affordable power over the long term.

¹⁹ Network upgrades, by definition, are integrated transmission facilities. If any Direct Assignment Facilities ("DAF") are caused by a large load interconnection, their costs would be directly assigned to the entity requesting service, absent other arrangement.

²⁰ EEI and its member companies have developed an extensive factual record in other proceedings of how their stewardship of network upgrades, even when initial construction is funded by other parties, increases their risks. *See* Answer to Order to Show Cause of the PJM Transmission Owners, Docket No. EL24-81-000, at 5 (filed Sep. 11, 2024); Response of MISO Transmission Owners to the June 13, 2024 Show Cause Order, Docket No. EL24-80-000, at 79-80 (filed Sep. 11, 2024); Mot. to Terminate Proceeding, Alternative Mot. to Hold Proceeding in Abeyance, & Resps. of the Southwest Power Pool Transmission Owner Grp., Docket No. EL24-82-000, App. A at 21-23 (filed Sep. 11, 2024); Resp. to the June 13, 2024 Order to Show Cause of ISO New England, Inc., Docket No. EL24-83-000, Attach.1: Response to Order to Show Cause of the Indicated New England Transmission Owners, at 54-55 (filed Sep. 11, 2024); *PJM Transmission Owners Revisions to OATT*, Docket No. ER21-2282-000, at 13-17 (filed June 30, 2021).

2. Large Load Customers Should Make Appropriate Financial Commitments to Support the Investments Their Interconnection Will Require.

While large loads can require extensive network upgrades, there is also a risk that such large loads may not fully materialize as initially assumed. Accordingly, there should be measures to ensure other customers are not burdened in those situations. EEI members must act prudently to avoid shifting costs to other customers and should not be required to build transmission facilities to serve large load customers without sufficient financial commitments from those customers.

Currently EEI members are tackling this challenge through enhanced security and credit requirements, minimum commitment requirements, and other ratemaking mechanisms that have been developed with state regulators and large load customers. To aid the Commission, we offer the following examples of customer-protective mechanisms:

- Large loads could initially fund the cost of network upgrades and/or interconnection facilities and the transmission owner/provider could return the funds upon energization of the network upgrades over a period not to exceed 20 years, with the transmission plant includable in rate base of the transmission owner/provider, as credits paid.
- Large loads could provide security for network upgrades.²¹ The upgrades would be funded by the transmission owner/provider who could rate base the upgrades upon energization, and return the security to the customer over time as the transmission rates pay down the cost of the network upgrades.
- Large loads could be obligated to minimum term commitments for transmission service or other revenue contribution assurance mechanisms, which would ensure that if transmission facilities are built to serve new large load customers, some period and level of service is guaranteed to be taken and corresponding payments made by the large load customer.²²

²¹ Importantly, security or similar assurance should not be required at both the federal and state level for the same facilities/service.

²² Some EEI members include “take or pay” mechanisms for a minimum number of years (often ten years or more, and typically with a load ramp period) to ensure that other customers are not harmed by investments that utilities make to serve these large loads. *See e.g.*, PECO Energy Sep. 23, 2025 Filing.

- Utilities could rely on security provided for bundled retail service as part of their state retail tariffs.
- Utilities could, working in conjunction with the respective state regulators and large load customers, propose other mechanisms to satisfy these requirements.

The Commission should recognize the importance of flexibility and endorse a suite of potential customer-protective options, which could be used individually or together, to meet unique challenges. The Commission should allow these options to be proposed as part of any tariff reform requirements. Individual transmission operators may determine that credit quality of the interconnecting large load customer be an appropriate consideration when evaluating the appropriate option.²³

C. The Commission Must Ensure Proper Protections If It Provides the Option to Build for Large Load Customers.

Building the new infrastructure required to serve new end-use load customers is a fundamental function of regulated utilities. Under Order No. 2003 and its progeny, a generator interconnection customer can effectively exercise a unilateral right to construct transmission provider's interconnection facilities and stand-alone network upgrades (collectively, "OTB facilities").²⁴ The ANOPR suggests that large load customers should be given "the same (or equivalent) option."²⁵ However, providing large load customers with the option to build such OTB facilities raises significant reliability concerns that must be addressed.

²³ Additionally, the Commission's longstanding "higher of" policy, allowing the charging of the higher of either incremental or rolled-in transmission costs, should remain available as a protection to existing customers which would allow the charging of an incremental transmission rates in situations where required network upgrades are so costly as to make the incremental rate exceed the rolled-in rate. *E.g.*, Order No. 2003-A, FERC Stats. & Regs. ¶ 31,160 at P 586 (applying "higher of" principle in generator interconnection context).

²⁴ See *Reform of Generator Interconnection Procs. & Agreements*, Order No. 845, 163 FERC ¶ 61,043, at P 3 (2018) ("Order No. 845").

²⁵ See ANOPR at P 26.

The Commission’s decision to grant generator interconnection customers *unilateral* rights to construct OTB facilities came in connection with Order No. 845 (more than a decade after the Commission had initially provided a conditional possibility for generators to construct OTB facilities). At the time, EEI cautioned that while generation interconnection customers claimed “that they are often able to build more rapidly and at a lower cost than transmission providers, . . . speed-to-market . . . cannot be a priority over, or achieved at the detriment of, grid safety and reliability.”²⁶ EEI believes now, as it did then, that grid safety and reliability must be *the* guiding principles for the Commission as it considers breaking new ground and extending the option to build to large load customers—which may be sophisticated actors operating in certain technical fields or even in constructing their own technical facilities and equipment, but may lack a meaningful track record with respect to integrated network transmission facilities.²⁷

Accordingly, if the Commission requires an option to build be provided to all large load customers, it must also require necessary safeguards to protect the reliability of the transmission grid. First, it must ensure that the option to build is strictly limited to transmission owner interconnection facilities and stand-alone network upgrades,²⁸ to limit any broader system impacts. Second, all facilities must be built to the standards and specifications provided in advance by the transmission owners and must adhere to applicable NERC requirements. Third, the transmission owner must be given the right to approve the engineering design, equipment acceptance tests, and construction itself. Fourth, any contractor used by the interconnection customer must be from an

²⁶ See *Reform Generator Interconnection Procs. & Agreements*, Comments of the Edison Elec. Inst., Docket No. RM17-8-000, at 17-18 (filed Apr. 13, 2017).

²⁷ In addition, load is not subject to the Commission’s jurisdiction and may not be able to obtain certificates of public convenience and necessity if required.

²⁸ “Stand Alone Network Upgrades shall mean [n]etwork [u]pgrades . . . that an Interconnection Customer may construct without affecting day-to-day operations of the Transmission System during their construction” See *Pro Forma Large Generator Interconnection Agreement*, Art. 1, Definitions.

approved list of contractors supplied by the transmission owner. Fifth, the transmission owner must have oversight of these activities to satisfy compliance with the applicable standards and specifications for the construction of facilities. And finally, the interconnection customers must agree to indemnify the transmission owner from any liability resulting from their construction of the facilities. These requirements are a minimum set of standards that must be required to protect the reliability of the transmission system for all customers.

D. Loads in Co-Location Arrangements Use the Transmission System and Should Pay for That Use

In some circumstances, co-location arrangements provide the opportunity for valuable system efficiencies and support speed to power. Such arrangements should be pursued where such configurations support reliability and security of the grid and should be structured to avoid cost shifts to other customers. Any rule concerning co-located facilities must recognize that load co-located with a generator interconnected to the transmission system uses and benefits from the transmission system and therefore must pay for its share of transmission and transmission-related costs.²⁹

1. The Commission Must Ensure Co-Location Rules Prevent Free-Riding.

The ANOPR proposes that utilities “serving large loads, including those at hybrid facilities, should be responsible for transmission service based on their withdrawal rights, as that value amount reflects the quantity of capacity and energy that is being transmitted across the transmission system to the load.”³⁰ The ANOPR also proposes that utilities serving large loads, including those at hybrid facilities, should be responsible for ancillary services based on peak

²⁹ “Islanded” load and generation are not the subject of the ANOPR.

³⁰ ANOPR at P 28.

demand, without consideration of any co-located generation.³¹ The latter statement is the better approach. The reasons for the “net” treatment of the large load for transmission cost-allocation purposes and “gross” treatment of it for ancillary services purposes are not explained or justified, and the ANOPR appears to acknowledge the load’s dependence on the system on a gross basis.³² There is no reason to treat the two differently.³³ Rather, to ensure fairness and avoid implementation complexity, the Commission should make a gross load approach the default for both ancillary services and transmission, subject to exception only if a utility supports and the state approves a different approach.

Adopting the gross load approach, as a default, fairly allocates the costs of transmission and ancillary services. Commission precedent supports a gross load approach:

the relevant provisions for Network Service under Midwest ISO’s OATT track the Commission’s Order No. 888 pro forma OATT, and the Commission made clear in Order No. 888 and its progeny that the entire load at a discreet [*sic*] point of delivery must be designated as Network Load, including load served by behind-the-meter generation, regardless of whether the load is served at retail or wholesale.³⁴

Indeed, the Commission summed up load customers’ transmission service choices in Order No. 888-A: “The bottom line is that all potential transmission customers, including those with

³¹ *Id.* P 29.

³² *Id.* As suggested by the ANOPR, a “gross load approach” is the allocation of costs based on “peak demand, without consideration of any co-located generation.” *See id.* This approach aligns with how utilities plan for and provide network services. *See Nat’l R.R. Passenger Corp. v. PPL Elec. Corp.*, 171 FERC ¶ 61,237, at P 43 (2020) (citations omitted) (noting that “one of the significant benefits of network service” is that “the transmission provider plans and provides for firm transmission capacity sufficient to meet the customer’s current and projected peak loads . . . even when behind the meter or alternative supply is unavailable.”); *see also Tri-State Generation & Transmission Ass’n*, 184 FERC ¶ 61,099, P 201 (2023) (citation omitted) (“[T]he Commission has consistently found that the gross load approach is appropriate for network transmission service.”).

³³ Ancillary services are inextricably linked to transmission service. Order No. 888, FERC Stats. & Regs. ¶ 31,036 at 31,703 (“ancillary services are needed to provide basic transmission service”).

³⁴ *Midwest Indep. Sys. Operator, Inc.*, 106 FERC ¶ 61,073, at P 26 (2004) (citations omitted).

generation behind the meter, must choose between network integration transmission service or point-to-point transmission service.”³⁵ As a default, co-located load at hybrid facilities should be treated the same as load in front of the meter, unless a state approves a different approach. This will ensure that such loads are appropriately charged and factored-in by transmission providers.

It has been almost twenty-five years since the Commission rejected arguments that certain loads simply did not “use” the transmission grid.³⁶ The wholesale loads in question were located on the distribution system and would have been sold power by generators located on the same system, but the arguments made were nearly identical to those being made by advocates of netting. The ALJ found, and the Commission fully affirmed, that the:

theory behind Enron’s [no transmission], distribution-only service depends on the technical ability of such service to operate in isolation from the ISO Grid. If anything has been proven in respect to this issue, it is that [no transmission,] distribution-only service would have numerous effects on the ISO grid and cannot be performed in isolation from the ISO grid.³⁷

The Commission should not adopt a default rule that could disguise some large load customers’ level of reliance on the transmission system.

2. In Parallel, Commission Policies Should Support Efficient System Planning.

It is important to ensure that all loads, including co-located loads at hybrid facilities, pay their fair share of grid costs. However, there is no tension between adopting cost-allocation mechanisms to ensure fairness, and planning approaches to ensure the system is built to

³⁵ Order No. 888-A, FERC Stats. & Regs. ¶ 31,048, at 30,260 (1997) (“Order No. 888-A”), *subsequent history omitted*.

³⁶ *E.g., Pac. Gas & Elec. Co.*, 88 FERC ¶ 63,007 (1998) (holding that distribution service cannot be performed in isolation from an ISO grid), *aff’d* 100 FERC ¶ 61,156, *reh’g denied*, 101 FERC ¶ 61,151 (2002), *vacated and remanded on other grounds*, *S. Cal. Edison Co. v. FERC*, 415 F.3d 17 (D.C. Cir. 2005).

³⁷ *Id.*, 88 FERC at 65,075 (citation modified).

accommodate new loads efficiently. The Commission’s policies should encourage utilities and ISO/RTOs to properly plan the system based on expected use. Adopting a default policy of gross load for the purpose of allocating transmission service costs *does not* mean that system planning should ignore the realities of a configuration’s specific impact to the grid. To rationally study and plan transmission for a balancing authority with multiple co-located loads, a transmission provider should be allowed to take into account the nature of the co-located loads (*i.e.*, curtailability), the nature of any special protection systems (not all of which may be sufficient to support a netting approach), whether there is on-site back-up generation, probabilistic analysis, and myriad other factors. For example, the nature of the load may play an important role in interconnection and planning studies, as there may be loads that support national defense and mission critical cybersecurity customers where the need for an uninterrupted supply is essential. However, not all large loads would reach this level of critical need.

In short, the allocation of transmission service costs on a gross load basis can and should co-exist with holistic transmission system planning that recognizes the benefits of co-located load and drives an efficient build-out of the system. To this end, the Commission should extend accelerated study benefits—if any are established in a Final Rule—to arrangements involving load and facilities located in proximity to each other but not at the same point of interconnection.³⁸ Additionally, many regions of the country address transmission planning in accordance with state-jurisdictional integrated resource planning. The Commission should avoid duplicative, and potentially inconsistent, treatment of these issues for utilities that operate in those regions.

³⁸ The SPP region offers one example for consideration. *Southwest Power Pool, Inc.*, Transmittal Letter, Submission of Tariff Revisions to Add the High Impact Large Load Process & High Impact Large Load Generation Assessment, Docket No. ER26-247, at 5 (filed Oct. 24, 2025) (“Southwest Power Pool Oct. 24, 2025 Filing”). EEI is not addressing the merits of that proposal in these comments.

E. The “Suspension” of Existing Generation to Serve New Large Loads Must Be Studied to Mitigate Reliability and Resource Adequacy Impacts.

The ANOPR proposes that “an existing generating facility that seeks to enter a partial suspension to serve a new load at the same location must go through a system support resource (“SSR”)/reliability must run (“RMR”) type study.”³⁹ DOE indicates that such study:

must consider system conditions, including forecasted load growth, at least three years after the proposed suspension date. The partial suspension can only proceed after any network upgrades needed to ensure reliability are placed into service. Any such network upgrades shall be the responsibility of the generating facility.⁴⁰

Any diversion of existing generation away from the system to serve a large load can mimic a resource retirement, especially if the Commission were to mandate netting treatment for hybrid resources. EEI strongly supports requiring that any planned diversion of existing generation be studied for transmission reliability prior to it becoming dedicated to serving a retail large load. We also underscore that resource adequacy is a growing concern across the country; taking any generation that provides such service off the grid to serve a new large load raises significant reliability and affordability concerns.⁴¹ As such, the Commission must grapple with this reality and consider additional reforms to ensure that necessary incremental generation resources are

³⁹ See ANOPR at P 27.

⁴⁰ *Id.*

⁴¹ Certain PJM-state governors have announced a proposal with data center industry support whereunder data centers qualify for the fast lane *only* if they create power equal to their expected use. See *Joint Proposal For CIFP LLA* (Oct. 24, 2025), <https://www.pjm.com/-/media/DotCom/committees-groups/cifp-lla/2025/20251024/20251024-item-04a---data-center-coalition-and-governors-proposed-package---updated.pdf> (last visited Nov. 20, 2025).

available to address any resource adequacy concerns for utilities with the obligations to provide such service.⁴²

F. Any Final Rule Must Address the Risk of Speculative Projects, Including Through Study Deposits.

The ANOPR asks the extent to which the “existing study deposits, readiness requirements, and withdrawal penalties can be adopted” and whether additional commitments or financial penalties would be appropriate.⁴³

EEI member companies agree that any large-load interconnection program or tariff adopted by the Commission must address speculative projects and provide a framework to allow transmission providers to more accurately forecast demand on their systems. With a large load interconnection, a study will need to be performed. Study deposits sufficient not only to cover the cost of the study but also to deter speculative study requests are appropriate. We urge the Commission to avoid being overly prescriptive, given the substantial differences between states and regions, and to preserve contracting flexibility. Large load customers are not uniform; their load characteristics may vary widely depending on the end-use and evolve over time. Establishing requirements for the type of technical information required for large load customers to provide prior to initiating an interconnection request will improve infrastructure planning.

⁴² See e.g., *PJM Interconnection, L.L.C.*, 190 FERC ¶ 61,084, at P 53 (2025) (accepting PJM’s proposal to “accelerate the interconnection of up to 50 additional projects” in order to “address concerns that the current state of its interconnection queue does not enable sufficient resources to interconnect to meet projected near-term resource adequacy needs.”); *Midcontinent Indep. Sys. Operator, Inc.*, 192 FERC ¶ 61,064, at P 1 (2025) (accepting MISO’s “Expedited Resource Addition Study (ERAS) process” as a “framework for the expedited study of interconnection requests to address urgent resource adequacy and reliability needs in the near term.”).

⁴³ ANOPR at P 21.

As NERC has explained, the “electrical behavior of emerging large loads during both normal and abnormal grid conditions represents new challenges for planners and operators.”⁴⁴ Some of this uncertainty comes from the fact that large load customers “range widely in size[,]” what makes them “large” may vary depending on the “relative size of the load to the local system and overall interconnection” on a local or regional basis, and “the characteristics that inform their electrical behavior are not as predictable as conforming loads.”⁴⁵ Any standardized procedures dealing with large load interconnection, including any efforts to address the costs of studying these customers, must be flexible enough to account for the evolving understanding of just what is necessary to integrate these customers to the grid.⁴⁶ The need for accurate and complete information to perform studies, particularly if expedited, cannot be understated. Any compressed study timelines should not commence until the transmission provider or owner has the information it needs.

Large load interconnection procedures should *not* simply be a mirror image of generator interconnection procedures. The Commission should recognize the history of generator interconnection processes across multiple regions, including SPP, MISO, and PJM that illustrate the consequences of designing procedures that can become saturated with speculative projects. Generator interconnection queues became unmanageable precisely because they permitted entry without strong readiness requirements which hindered transmission planning and delayed needed

⁴⁴ See NERC Large Load White Paper at 2.

⁴⁵ *Id.* at 2-3, 11.

⁴⁶ Cf. NERC, *Indus. Recommendation: Large Load Interconnection, Study, Commissioning, & Operations*, at 1 (Sep. 9, 2025), <https://www.nerc.com/globalassets/programs/bpsa/alerts/2025/nerc-alert-level-2--large-loads.pdf>. (finding that the “comparatively large size, unique end-use operational characteristics, unique facility design, and unique operational performance of Large Loads necessitate enhancements to interconnection processes, BPS planning studies and models”).

infrastructure. Careful thought and consideration must be given to the way the services are similar and what is appropriate in the load context.

III. THE COMMISSION SHOULD CONSIDER—AND SEEK TO AVOID— POTENTIAL JURISDICTIONAL STUMBLING BLOCKS

DOE asks the Commission to assert jurisdiction over all large load interconnections to transmission facilities,⁴⁷ acknowledging that “[h]istorically, the Commission has not exerted jurisdiction over load interconnections.”⁴⁸ EEI fully supports the goal of the Administration, DOE, and the Commission to advance the fair and rapid interconnection of large loads. These goals can be achieved without calling into question the way in which states and the Commission have traditionally regulated bundled retail service and without launching a cumbersome new regulatory effort that is likely to slow, not speed, progress. States have successfully regulated retail interconnections for decades, including interconnections of large retail loads, and upsetting that paradigm here may have unintended consequences that could undermine the goals of both EEI members and the Commission regarding developing methods to ensure rapid and reliable connection of large loads. EEI describes some of the jurisdictional concerns implicated by the ANOPR below with the aim of aiding the Commission in adopting a durable Final Rule that avoids unnecessary cost and delay.

A. The Commission Should Not Disturb or Disrupt Bundled Retail Rates

The Commission should make clear that bundled retail service (which includes an array of services, such as local distribution service and sales of power) is not at issue or under threat in this proceeding. Such clarity is needed given the foundational jurisdictional questions DOE’s directive

⁴⁷ ANOPR at P 12.

⁴⁸ Sec’y of Energy’s letter re: the Interconnection of Large Loads Pursuant to the Sec’y’s Auth. under Section 403 of the DOE Organization Act & ANOPR, Docket No. RM26-4, at 1 (filed Oct. 27, 2025).

raises. It is helpful to review the legal framework. In the context of generator interconnections, the Commission has stated that “interconnection service” is an element of “transmission service,” and the Commission has authority under the Federal Power Act (“FPA”) to regulate interstate transmission.⁴⁹ In the seminal case on the Commission’s “stand-alone” interconnection jurisdiction under FPA section 205, the Commission explained that:

[w]hen a customer secures the *interconnection component* of transmission service separately from the *delivery component*, the customer must make a separate application under the pro forma tariff for the delivery component of transmission service unless, as is the case here, the generator intends to sell to a customer that already has transmission arrangements in place.⁵⁰

Similarly, in Order No. 2003, the Commission stated that interconnection service is a “component” or “element” of transmission service, explaining that it had:

identified interconnection as an *element* of transmission service that is required to be provided under the OATT. Thus, [FERC] may order generic interconnection terms and procedures pursuant to its authority to remedy undue discrimination and preferences under Sections 205 and 206 of the Federal Power Act.⁵¹

As this illustrates, the Commission links FERC-jurisdictional interconnection service to FERC-jurisdictional transmission service.⁵²

Given that this paradigm is what the Commission relies on to assert its interconnection jurisdiction under FPA sections 205 and 206, if a retail (load) customer takes FERC-jurisdictional

⁴⁹ *Tenn. Power Co.*, 90 FERC ¶ 61,238, at 61,761 (2000).

⁵⁰ *Id.* (emphasis added).

⁵¹ *Standardization of Generator Interconnection Agreements and Procedures*, Order No. 2003, FERC Stats. & Regs. ¶ 31,146, at P 20 (2003) (“Order No. 2003”) (emphasis added) (citation omitted), *subsequent history omitted*.

⁵² Order No. 2003 sought to address concerns that existing procedures provided an unfair advantage “to utilities that own both transmission and generation facilities[.]” which the Commission remedied through *inter alia* standardized interconnection procedures that made no presumptions as to how that generation would ultimately be used. See Order No. 2003, FERC Stats. & Regs. ¶ 31,146 at PP 11, 766-773, 778-779. There have been no findings of unfair treatment related to large load customers.

transmission service under an OATT, it would take load interconnection service under that same OATT as an element of such transmission service. And therein lies the rub: many retail customers receive transmission service as part of retail services provided by their local utilities, under a state-jurisdictional tariff/rate schedule. Interconnection service for those retail customers is an element or component of the state-jurisdictional bundled transmission service and is based on state approved terms and conditions. In addition, in most instances, the interconnection of end-use load requires the use of at least some local distribution facilities. And, even if it does not, there is an element of local distribution service in any case, such that the state has some jurisdiction.⁵³

Traditionally, the transmission component of retail service has been taken under a state-jurisdictional tariff,⁵⁴ so the states have exercised jurisdiction over the interconnection of retail loads. Indeed, many utilities have specific tariffs on file with their state regulators to address rates for retail loads that connect to the transmission system of a utility.⁵⁵

⁵³ Order No. 888, FERC Stats. & Regs. ¶ 31,036 at 31,783.

⁵⁴ The Commission has jurisdiction over unbundled retail transmission, such that if a retail customer is unbundled, the customer *must* take transmission service under a FERC-jurisdictional tariff. See Order No. 888, FERC Stats. & Regs. ¶31,036 at 31,689-90. Many states have “unbundled” the purchase of delivery products from certain energy/capacity products, but the Commission has *not* asserted jurisdiction over the transmission component of the delivery product as to this type of unbundling. This state action, although often called unbundling, has not proven sufficient for the Commission to assert jurisdiction and demand retail customers take FERC-jurisdictional OATT service directly.

⁵⁵ E.g., *In Re Entergy Gulf States, Inc.*, No. 22356, 2001 WL 34070746 (Tex. PUC Oct. 2, 2001); *In Re Aquila, Inc.*, Nos. 03S-539, C04-1060, 2004 WL 2021426 (Colo. PUC Sept. 3, 2004); *Proceeding to Rev. Goals, Objectives & Strategies for Conservation Programs & to Consider Revisions to Efficiency Me. Program Plan*, No. 2005-446, 2007 WL 4224197, at *1 (Me. PSC Nov. 27, 2007); *In re Appl. of Cheyenne Light, Fuel & Power Co. d/b/a Black Hills Energy for A Gen. Rate Increase of \$15,366,026 Per Annum & Auth. to Revise Its Power Cost Adjustment Mechanism*, No. 2003-214-ER-22, 2022 WL 3155133, at *1 (Wyo. PUC June 6, 2022); *Pet. of PECO Energy Co. for Approval of Its Elec. Long-Term Infrastructure Improvement Plan & to Establish A Distrib. Sys. Improvement Charge for Its Elec. Operations*, Nos. P-2015-2471423, C-2015-2476587, 2017 WL 3872539, at *1 (Pa. PUC Aug. 7, 2017); *In re Application of Duke Energy Ohio, Inc., for Appl. of A Distrib. Decoupling Rider.*, No. 11-5905-EL-RDR, 2012 WL 92089, at *1 (Ohio PUC Jan. 5, 2012).

There is no indication in the ANOPR that the intent of the proposed large load reforms is to alter, unwind, or disrupt bundled service and rates for retail customers, as that would represent a significant jurisdictional and regulatory upheaval with profound implications. And any assertion of Commission jurisdiction over large load interconnections cannot include authority to regulate generation and sales of power to those end-users. The Commission should state plainly and clearly that disrupting retail service and associated retail rates is not on the table here.

B. The Commission’s Authority Over Transmission May Not Automatically Extend to Large Load Interconnections.

The ANOPR suggests that the Commission has the authority to regulate large load interconnections because they are a component of transmission service. However, the courts have never addressed this issue, and the Commission has never exercised its jurisdiction over the interconnection of retail customers.⁵⁶ There are multiple jurisdictional issues the Commission must be mindful of in evaluating its authority here.

1. Section 201 of the FPA Ensures that Jurisdiction Only Extends to Matters Not Subject to Regulation by the States.

Today, states regulate the interconnection of all retail customers. This fact is an important consideration for the Commission. The FPA strictly defines the Commission’s jurisdiction and makes clear through the savings clause in FPA Section 201(a) that “[f]ederal regulation” is “to extend only to those matters which are not subject to regulation by the States.”⁵⁷ Thus, the most legally sound conclusion is that Congress intended that jurisdiction over retail load

⁵⁶ *PJM Interconnection, L.L.C.*, 190 FERC ¶ 61,115 at P 72 (2025).

⁵⁷ 16 U.S.C.A. § 824(a). And, in no case does the Commission’s jurisdiction extend to local distribution. FPA Section 201(b)(1) expressly states that the Commission “shall not have jurisdiction . . . over facilities used in local distribution.” There is an argument that there is no interconnection of load without use of local distribution facilities, even if that is just the customer’s meter. And under 16 U.S.C. § 824(b), the Commission has jurisdiction over “transmission of electric energy,” while the states have jurisdiction over “any . . . sale of electric energy” other than “sale of electric energy at wholesale.” The Commission has no jurisdiction over sales of power to end user customers.

interconnections was to remain with the states when it promulgated the FPA. The ANOPR suggests that the Supreme Court in *New York v. FERC*⁵⁸ opened the door to the Commission's taking jurisdiction over the interconnection of large loads to the transmission system.⁵⁹ But that opening may be narrower than the ANOPR suggests and may have been closed by subsequent actions.

In Order No. 888, the Commission found that in all cases retail service involves state jurisdiction *even if no distribution facility is actually used*.⁶⁰ Thus, the Commission concluded that requiring the unbundling of retail transmission and generation would raise "difficult jurisdictional issues."⁶¹ In reviewing the Commission's decision, the Court agreed:

[W]e can agree with FERC's conclusion that Enron's desired remedy "raises numerous difficult jurisdictional issues," without deciding whether Enron's ultimate position on those issues is correct. The issues raised by New York concerning FERC's jurisdiction over unbundled retail transmissions are themselves serious. It is obvious that a federal order claiming jurisdiction over all retail transmissions would have even greater implications for the States' regulation of retail sales—a state regulatory power recognized by the same statutory provision that authorizes FERC's transmission jurisdiction. *See* 16 U.S.C. § 824(b) (giving FERC jurisdiction over "transmission of electric energy," but recognizing state jurisdiction over "any ... sale of electric energy" other than "sale of electric energy at wholesale").⁶²

⁵⁸ 535 U.S. 1 (2002).

⁵⁹ ANOPR at PP 4-6.

⁶⁰ Order No. 888, FERC Stats. & Regs. ¶ 31,036 at 31,783 (providing that states "have jurisdiction in all circumstances over the service of delivering energy to end users.").

⁶¹ *Id.* at 31,699.

⁶² *New York v. FERC*, 535 U.S. at 27-28 (citations omitted).

2. Section 212(h) of the FPA Further Limits the Commission's Authority Over Transmission.

In any case, if the authority to regulate retail transmission exists, this authority is limited, in states that have not required unbundling of retail transmission, by FPA section 212(h). Congress's addition of section 212(h) to the FPA, many decades after section 201 was enacted, may prevent a large load or its agent from obtaining transmission service absent state approval.

Section 212(h) of the FPA provides that:

No order issued under this chapter shall be conditioned upon or require the transmission of electric energy:

(1) directly to an ultimate consumer, or

(2) to, or for the benefit of, an entity if such electric energy would be sold by such entity directly to an ultimate consumer, unless:

(A) such entity is a Federal power marketing agency; the Tennessee Valley Authority; a State or any political subdivision of a State (or an agency, authority, or instrumentality of a State or a political subdivision); a corporation or association that has ever received a loan for the purposes of providing electric service from the Administrator of the Rural Electrification Administration under the Rural Electrification Act of 1936 [7 U.S.C. 901 et seq.]; a person having an obligation arising under State or local law (exclusive of an obligation arising solely from a contract entered into by such person) to provide electric service to the public; or any corporation or association which is wholly owned, directly or indirectly, by any one or more of the foregoing; and

(B) such entity was providing electric service to such ultimate consumer on October 24, 1992, or would utilize transmission or distribution facilities that it owns or controls to deliver all such electric energy to such electric consumer.

Nothing in this subsection shall affect any authority of any State or local government under State law concerning the transmission of electric energy directly to an ultimate consumer.

In the final sentence of section 212(h), Congress prohibits the Commission from ordering retail transmission service against the wishes of a state, if the state prohibits wheeling to an ultimate

consumer. The Commission recognized this sentence as a barrier in Order No. 888 to ordering a retail customer to take service under a FERC-jurisdictional OATT or another FERC tariff:

we are mindful of the fact that we are precluded under section 212(h) from ordering or conditioning an order on a requirement to provide wheeling directly to an ultimate consumer or sham wholesale wheeling. . . . [W]e make clear that if a utility chooses, or a state lawfully requires, unbundled retail transmission service, such service should occur under this [*Order No. 888 pro forma*] tariff unless we specifically approve other terms.⁶³

3. The Major Questions Doctrine Must be Considered.

As far back as *New York v. FERC*, decades before *West Virginia v. EPA* would become the law of the land, the Supreme Court implied that the statutory text of FPA section 201’s savings clause raises the major questions doctrine.⁶⁴ And the Court has now announced and applied that doctrine.⁶⁵ Reading the statute to take away authority from states that they have consistently applied, without a clear Congressional mandate to do so, may run afoul of the major questions doctrine and would be something the Commission must consider.

C. In a Jurisdictional Dispute, a Court Could Find that Interconnection Service Is Separate from Transmission Service, and that Congress Has Conferred More Limited Authority with Respect to Interconnections.

As noted above, the Commission has stated that it has jurisdiction over generator interconnection service as a component of transmission service, a notion that the ANOPR also

⁶³ Order No. 888, FERC Stats. & Regs. ¶ 31,036 at 31,689-90 (citation modified); *see e.g., Rochester Gas & Elec. Corp.*, 82 FERC ¶ 61,250, 62,002 (1998) (“Rochester G&E need only provide such [retail transmission] service if the state requires Rochester G&E to offer unbundled transmission service or if Rochester G&E voluntarily chooses to do so.”).

⁶⁴ *New York v. FERC*, 535 U.S. at 28 (recognizing the “great[] implications” of the Commission asserting jurisdiction over retail sales).

⁶⁵ *West Virginia v. EPA*, 597 U.S. 697, 721 (2022) (holding that precedent teaches that there are extraordinary cases in which the history and the breadth of the authority that the agency has asserted, and the “economic and political significance” of that assertion, provide a “reason to hesitate before concluding that Congress” meant to confer such authority).

suggests.⁶⁶ However, there is no specific language in the FPA that directly supports this claim. We raise this point to underscore for the Commission the need to be circumspect and clear with any assertion of jurisdiction in response to the ANOPR.

While the FPA does discuss “interconnections,” it does so with limited authority to the Commission. Specifically, section 210 (titled “Interconnection Authority”) provides the Commission can order the “physical connection” of a “cogeneration facility, any small power production facility, or the transmission facilities of any electric utility” to transmission facilities if and only if it makes various findings as to the necessity of that interconnection.⁶⁷ Moreover, the Commission can only issue that order after providing notice to impacted parties and providing those parties a chance to put on evidence.⁶⁸ Section 212 (“Orders requiring interconnection or wheeling”) further specifies and limits how this authority is to be used. For example, section 212 indicates that the Commission must issue a proposed transmission interconnection order ahead of time to allow the impacted parties to negotiate rates and terms for its application. Section 212 also prohibits the Commission from issuing an order that is inconsistent with state laws governing “retail marketing areas” of utilities.⁶⁹

The specific discussion of Commission authority over “interconnection” in FPA sections 210 and 212, but *not* sections 201, 205, and 206, may raise concerns for a court if the Commission’s interpretation of interconnection as an element of transmission service were challenged. If the FPA is strictly construed, the fact that Congress enacted FPA sections 210 and 212 *after* sections 201, 205, and 206, and well *before* Order No. 2003, could raise questions regarding the

⁶⁶ ANOPR at PP 14-16.

⁶⁷ 16 U.S.C. § 824i(a) & (c).

⁶⁸ 16 U.S.C. § 824i(b).

⁶⁹ 16 U.S.C. § 824k (c)(1) & (g).

Commission’s authority in other landmark interconnection orders such as Order Nos. 2003, 2006, 792, 845, and 2023. No court has been asked to rule on the fundamental issue of whether Order No. 2003 and its progeny generally provided the Commission generator interconnection jurisdiction.⁷⁰ And the concern over a stricter reading of Commission jurisdiction must be accounted for in light of the Court’s recent decision in *Loper Bright*.⁷¹

Congress may be presumed to know that “interconnection” to transmission facilities and “transmission” of electricity are not only described with different words but are different services. And, when “Congress uses certain language in one part of a statute and different language in another, it is generally presumed that Congress acts intentionally.”⁷² Congress granted the Commission the authority to mandate stand-alone interconnection service in FPA section 210 and indicated that such service could be sought in connection with mandated transmission service under FPA sections 211 and 212. Under a strict interpretation, neither would allow for the action suggested by the ANOPR.

D. Using FPA Section 205’s “Practices Affecting” or “Affect or Relates” Clauses to Regulate a Service Subject to State Jurisdiction Could Create Legal Risk.

The ANOPR, citing *EPSA*,⁷³ asserts that “the interconnection of large loads to the transmission system falls under a practice directly affecting Commission-jurisdictional wholesale electricity rates”⁷⁴ and that the “FPA has vested the Commission with exclusive authority to ensure

⁷⁰ Other jurisdictional issues raised about Order No. 2003 were decided in favor of the Commission in light of *Chevron* deference. *NARUC*, 475 F.3d at 1279 (“FERC’s interpretations of the jurisdictional provisions of the Federal Power Act . . . enjoy *Chevron* deference.”).

⁷¹ *Loper Bright Enters. v. Raimondo*, 603 U.S. 369 (2024).

⁷² *Nat’l Fed’n of Indep. Bus. v. Sebelius*, 567 U.S. 519, 544, (2012); e.g., *United States v. Peterson*, 394 F.3d 98, 107 (2d Cir. 2005) (“When Congress uses particular language in one section of a statute and different language in another, we presume its word choice was intentional.”).

⁷³ *FERC v. Elec. Power Supply Ass’n* 577 U.S. 260 (2016) (“*EPSA*”).

⁷⁴ ANOPR at P 14.

that wholesale rates are just and reasonable and not unduly discriminatory or preferential.⁷⁵ The “practice affecting” and/or “affect or relate” bases for expanding Commission jurisdiction unquestionably have their limits.⁷⁶ Taken to the extreme, *every* retail load affects wholesale power prices. However, this line of reasoning would be squarely in conflict with the FPA. As noted above, Congress left matters regulated by the states to the states. The savings clause of FPA section 201 remains intact. And thus, a court may find an argument that retail customers affect wholesale prices simply because they interconnect to the grid as a clear overreach by the Commission.⁷⁷ Indeed, the Commission itself has expressed reluctance to use the “practice affecting” or “affect or relate” clauses arguments, is when it is asked to exercise jurisdiction over a service traditionally regulated by the states.⁷⁸

Moreover, we note that public utilities have FPA section 205 rights to propose their own tariffs in the first instance. The Commission has only ever imposed a landmark remedy such as the type proposed by DOE if certain legal findings are made under FPA section 206.⁷⁹ In each of

⁷⁵ *Id.*

⁷⁶ See e.g., *EPSA*, 577 U.S. at 280 (holding that “regulatory authority over retail sales” belongs to the states alone, and “FERC cannot take an action transgressing that limit no matter how direct, or dramatic, its impact on wholesale rates.”); *Duke Power Co. v. FPC*, 401 F.2d 930, 943 (D.C. Cir. 1968) (finding the FPA contains no “language authorizing the Commission to compel any particular interconnection or technique of coordination.”).

⁷⁷ See, e.g., *EPSA*, 577 U.S. at 280 (“Suppose, to take a far-fetched example, that the Commission issued a regulation compelling every consumer to buy a certain amount of electricity on the retail market. Such a rule would necessarily determine the load purchased on the wholesale market too, and thus would alter wholesale prices. But even given that ineluctable consequence, the regulation would exceed FERC’s authority, as defined in § 824(b), because it specifies terms of sale at retail—which is a job for the States alone.”) (footnote omitted.).

⁷⁸ See *PJM Interconnection, L.L.C.*, 94 FERC ¶ 61,251, at 61,894 (2001) (finding that where it had no jurisdiction over sales for end use in the first place the Commission could not rely on other interpretative principles such as the “affect or relate” clause to assert jurisdiction.)

⁷⁹ See e.g. Order No. 888, FERC Stats. & Regs. ¶ 31,036 at 31,635 (making findings pursuant to FPA 205 and 206), Order No. 2003, FERC Stats. & Regs. ¶ 31,146 at P 20 (same); *Improvements to Generator Interconnection Procs. & Agreements*, Order No. 2023, 184 FERC ¶ 61,054, at P 37 (2023)

the Commission’s landmark orders, the Commission has made a finding of undue discrimination that warrants such a change.⁸⁰ The ANOPR’s legal basis for jurisdiction set forth in Paragraphs 16-19 does not provide the necessary evidence to make an undue discrimination or related finding that would act as a sufficient predicate under section 206 for the sweeping action contemplated in the ANOPR.

IV. THE COMMISSION CAN ADVANCE REFORMS AND SPEED LARGE LOAD INTERCONNECTIONS WITHIN THE EXISTING JURISDICTIONAL PARADIGM.

EEI agrees that the “unprecedented current and expected growth of large loads seeking to interconnect to the transmission system”⁸¹ has created an urgent and significant challenge. EEI member companies are at the forefront of solving those very challenges today through large load tariffs and bilateral agreements. State commissions and others, however, may have concerns that this goal will be quite difficult to achieve without harming *other* retail customers, particularly if such loads are provided undue preferences. But there is a path forward, and ample opportunity for

(acting “pursuant to FPA section 206”); *Preventing Undue Discrimination & Preference in Transmission Serv.*, Order No. 890, FERC Stats. & Regs. ¶ 31,241 at P 13 (2007) (taking “action under FPA Section 206”), *subsequent history omitted*; *Transmission Planning & Cost Allocation by Transmission Owning & Operating Pub. Utils.*, Order No. 1000, FERC Stats. & Regs. ¶ 31,323 at P 1 (2011) (stating the Commission “acts under section 206 of the Federal Power Act” in adopting the rule), *subsequent history omitted*; *Bldg. for the Future Through Elec. Reg’l Transmission Planning & Cost Allocation*, Order No. 1920, 187 FERC ¶ 61,068, at P 1 (2024) (stating the Commission “acts under section 206 of the Federal Power Act” in adopting the rule), *subsequent history omitted*.

⁸⁰ See e.g. Order No. 888, FERC Stats. & Regs. ¶ 31,036 at 31,635 (“In this Rule, the Commission seeks to remedy both existing and future undue discrimination in the industry and realize the significant customer benefits that will come with open access.”); *Preventing Undue Discrimination & Preference in Transmission Serv.*, Order No. 890, FERC Stats. & Regs. ¶ 31,241, at P 25 (finding reforms are “necessary to reduce the potential for undue discrimination” in transmission service), *subsequent history omitted*; *Transmission Planning & Cost Allocation by Transmission Owning & Operating Pub. Utils.*, Order No. 1000, FERC Stats. & Regs. ¶ 31,323 at P 59 (“We therefore exercise our broad remedial authority today to ensure that rates are not unjust and unreasonable and to limit the remaining opportunities for undue discrimination.”), *subsequent history omitted*; Order No. 2003, FERC Stats. & Regs. ¶ 31,146 at P 20 (“[T]he Commission may order generic interconnection terms and procedures pursuant to its authority to remedy undue discrimination and preferences . . .”).

⁸¹ See ANOPR at P 12.

the Commission to act clearly and effectively to help advance the interconnection of large load customers.

EEI suggests that the Commission could issue a NOPR, in response to the ANOPR, that focuses on solutions that rest on sound jurisdictional footing.

Recent proposed tariff amendments submitted by SPP illustrate one way that the interconnection of large load customers can be addressed and accelerated without wading into a jurisdictional morass. SPP has proposed revisions to its tariff to create a specific process around High Impact Large Load (“HILL”) customers.⁸² HILL customers are subject to additional study requirements arising from the reliability challenges linked to large load. But HILL customers can also obtain service from a unique category of generation identified through the High Impact Large Load Generation Assessment (“HILLGA”) process.⁸³ In order to qualify as a HILLGA resource, a resource must meet various requirements showing they are close to “shovel ready”; and, they must be electrically proximate to the HILL they are intended to serve. In exchange, HILLGA resources are subject to more limited study and other requirements because they are only allowed to serve the load of a single, nearby HILL, through a new service—“Load Limited Resource Interconnection Service” (“LLRIS”).⁸⁴

Under the SPP proposal, the LLRIS is a *generator* interconnection construct specifically designed to align new generation with the unique reliability, locational, and timing needs created by HILL customers, thereby ensuring that transmission system planning can incorporate large load additions without overwhelming existing transmission processes. And, under the program, the

⁸² Southwest Power Pool Oct. 24, 2025 Filing at 4-5.

⁸³ *Id.* at 5.

⁸⁴ *Id.*

Transmission Customer is the entity that is seeking transmission service for the new load. As with most OATTs, to be a Transmission Customer, an entity must be an Eligible Customer. SPP is *not* proposing to change the definition of Eligible Customer, and *retail* customers do not meet this eligibility provision.⁸⁵ Thus, the entire program would involve the retail customer with HILL working hand-in-hand with their load serving entity (i.e., the Transmission Customer) so that the new service can be provided.⁸⁶ EEI is expressing no view in these comments as to the specifics of the SPP HILL proposal. Rather, EEI has identified this proposal as an illustration of an approach to facilitate bringing large load onto the transmission system faster and in a manner that does not involve jurisdictional upheavals.

Another approach the Commission could take is to issue a Final Rule under which FERC-jurisdictional transmission owners and providers could demonstrate that their FERC-jurisdictional tariffs governing transmission planning are addressing large load issues in a satisfactory manner, in concert with state processes, or that large load requests are not presenting issues in their state. If the Commission found such compliance filings adequate, it could take no further action as to those entities. The Commission could also meaningfully move the needle through the issuance of a policy statement to the same effect.

⁸⁵ See Southwest Power Pool, Inc. Open Access Transmission Tariff, Definitions E (defining Eligible Customer) (for a retail customer to be an Eligible Customer they must be “taking unbundled transmission service pursuant to a state requirement that a Transmission Owner offer the transmission service, or pursuant to a voluntary offer of such service by a Transmission Owner, is an Eligible Customer under the Tariff.”).

⁸⁶ If a state commission in SPP chose to unbundle utility service in a manner that allows a retail customer to be an Eligible Customer, an entity with HILL presumably could take service directly.

V. SIGNIFICANT WORK IS BEING DONE TO BRING LARGE LOADS TO THE GRID, AND THE COMMISSION SHOULD MAKE SURE THOSE EFFORTS CONTINUE UNIMPEDED.

The Commission will not be issuing a Final Rule on a blank slate. Numerous long-term bilateral contracts have been entered into between utilities and large loads. State tariffs have been drafted and approved to accommodate large retail loads. Some ISO/RTOs are developing policies specific to wholesale load serving entities with new large loads. EEI member companies strongly urge the Commission to avoid disruption of these developments.

A. Existing State Processes Should Be Protected.

The Commission should ensure that it does not disrupt what states, utilities, and large load customers already have achieved to bring online large loads. In many cases, states and utilities already have put in place large load tariffs or rules that govern the interconnection of large loads or will have finished this task before a final rule could be implemented in this proceeding. In particular, many states have created specialized large-load economic development tariffs designed to attract new industry while protecting existing retail customers from cost shifts. These rules are tailored to the specific needs of their states and balance important local and state policy considerations.⁸⁷ Implementing a set of federally mandated rules could undermine those efforts. Thus, the Commission should ensure that it does not disrupt these processes with a national process.

Requiring customers that may have spent months hashing out bilateral contracts or large-load retail tariffs to now pivot to a new set of national rules that may not work for a particular region or would slow down interconnection would be inconsistent with the ANOPR's goal. The

⁸⁷ State and local governments have an array of tools outside of the electricity sector to address issues facing large loads.

Commission has historically been prudent in rulemaking processes to respect and preserve existing arrangements.⁸⁸ New customers should also be afforded the opportunity to opt-in to already in-place state frameworks.⁸⁹

B. ISO/RTO Innovations Also Should Be Respected.

Several ISO/RTOs have filed or are considering rules to address large loads. For example, SPP has filed new rules and tariff provisions to govern aspects of the large load interconnection process that are supported by their members (both utilities and customers) and a Final Rule should not upset its efforts. PJM also has an ongoing stakeholder process that has produced numerous promising proposals. These approaches may offer options for public utilities to consider presenting to the Commission. And the Commission should recognize that there must be variations, particularly given that profoundly different market models already exist. The SPP approach has demonstrated how an ISO/RTO transmission provider and the Commission can play key roles in addressing the concerns of the ANOPR while recognizing that there is no need to alter jurisdiction over interconnection service to such loads. The Commission should welcome and encourage these types of region-specific and utility-specific processes. Accordingly, the Commission should ensure that any national procedures do not undermine the RTO and utility-specific processes.

In any Commission rulemaking effort, the amount of time needed for transition and implementation processes necessarily depends on the nature of the Final Rule. The Commission

⁸⁸ Examples include allowing bundled requirements contracts to stay in effect; not requiring generators lacking interconnection agreements to enter into such agreements; compelling generators to take interconnection service under a new process only after a date certain; respecting existing transmission contracts when a transmission owner joins an ISO/RTO.

⁸⁹ Arguably, having a retail customer take all necessary services pursuant to the oversight a single jurisdictional body is more straightforward for all parties than having to deal with both a state commission and FERC.

should ensure an appropriate transition period to implement any new rule. We can only provide realistic implementation feedback in response to a NOPR rather than an abbreviated ANOPR.

VI. CONCLUSION

EEI members share the Administration's commitment to American energy dominance and remain on the forefront of accelerating the integration of large loads to advance our nation's economic and national security interests while also ensuring the delivery of reliable and affordable energy to everyday Americans. EEI appreciates the opportunity to comment and looks forward to working with the Commission on this national priority.

Respectfully submitted,

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